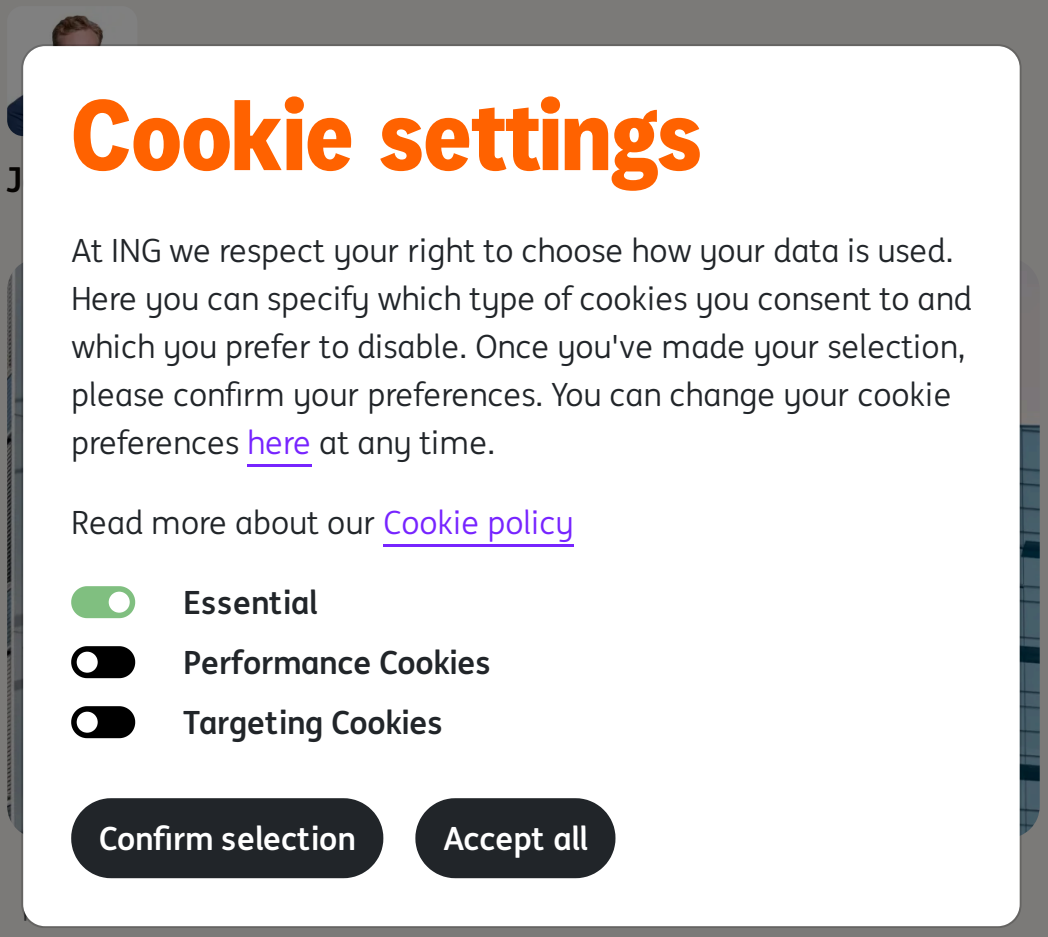
European bank M&A has seen a resurgence in recent years, and 2027 should stay busy. Domestic deals still dominate, while cross-border consolidation is harder but is also picking up. Regulation is becoming more supportive, but politics and execution still matter. Expect more deals, but a transformation of Europe's banking sector is still some way off



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European bank M&A is back

European bank M&A has seen a strong resurgence, with several large-scale deals making headlines. UniCredit's high-stakes takeover of Commerzbank, once deemed very unlikely but now moving closer to completion, could be Europe's most significant cross-border transaction in years. Italy remains one of Europe's bank M&A hotbeds, with multiple banks taking part in the ongoing consolidation wave. Other banks have also been active, and we expect M&A to remain elevated in 2027.

Year-to-date M&A deal value has already surpassed the 2025 total, reaching €53bn including the UniCredit-Commerzbank transaction and based on deals valued at €100m or more. Furthermore, deals pending or intended total €39bn, which includes the potential takeover of Banca Monte dei Paschi by Intesa Sanpaolo, currently valued at around €34bn. All in, this would bring deal value back to levels not seen since the early 2010s.

European bank M&A volumes have seen a resurgence

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Today, the backdrop has shifted – profitability and capital levels are stronger, making the obvious cost-efficiency story less compelling on its own. Instead, banks are using M&A to add scale, deposits and fee-generating diversification, while the need to close the gap with US rivals remains a key driver.

The industrial logic has also strengthened, as fixed costs are rising in areas such as technology, AI, compliance, as well as personnel. Rising investment requirements mean that remaining subscale is becoming more expensive, even for highly profitable banks.

Domestic dominates, but cross-border competes

UniCredit-Commerzbank remains the sector's most closely watched deal and could become the first major cross-border acquisition since the financial crisis. UniCredit has slowly been building its stake rather than a clean takeover and is now deemed to hold effective control, despite currently owning around 50% of the shares. Furthermore, it is also not entirely a leap into an unfamiliar market, as UniCredit already has a significant banking business in Germany through its subsidiary, HVB.

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broad-based cross-border consolidation wave. Many involve banks already familiar with the target market or assets that complement an existing local business.

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Selected transaction details

Transaction	Type	Status	Deal value + Stake	Strategic rationale	Main implication
UniCredit / Commerzbank	Staged cross-border takeover	Pending control (ECB approval received)	c.49% owned; c.50% voting rights expected	Scale in Germany and HVB overlap	Landmark cross-border test; politics still shape execution
Intesa / Monte dei Paschi (MPS)	Domestic cash-and-shares bid	Announced / likely	€30.6bn initially; later improved to c€34bn	Scale, deposits and market leadership	Likely branch disposals and competition remedies
MPS / Mediobanca	Domestic takeover and merger	Completed; integration under way	€16bn	CIB, wealth and Generali stake	Transforms MPS business mix and reduces governance complexity
MPS / Banco BPM	Merger of equals	**Unlikely**	€25.3bn	Italy mid-tier consolidation	Italy mid-tier consolidation
MPS / Banca Generali	Merger of equals	**Unlikely**	Part of c.€34bn twin proposals	Adds wealth mgmt scale and fee income	Growth in MPS wealth and mid-tier banking
BPER / Popolare di Sondrio	Domestic merger	Completed Apr-26	€4.3bn initial offer	Northern Italy scale and deposits	Clear domestic synergy case
BPCE / Novo Banco	Full cross-border acquisition	Completed Apr-26	€6.7bn	Portugal as second domestic market	Large but operationally separate expansion
BPCE / Sabadell	Strategic minority stake	Completed; cooperation talks	7% stake for c.€1.2bn; cap 9.9%	Spanish exposure, board role and partnerships	Optionality without control; strengthens Sabadell defences
Santander / Webster	Cross-border takeover	Completed	$12.5bn	Geographic scale, creating a top-10 US bank	Bolt-on acquisition in commercial markets

Source: Company reports, ING

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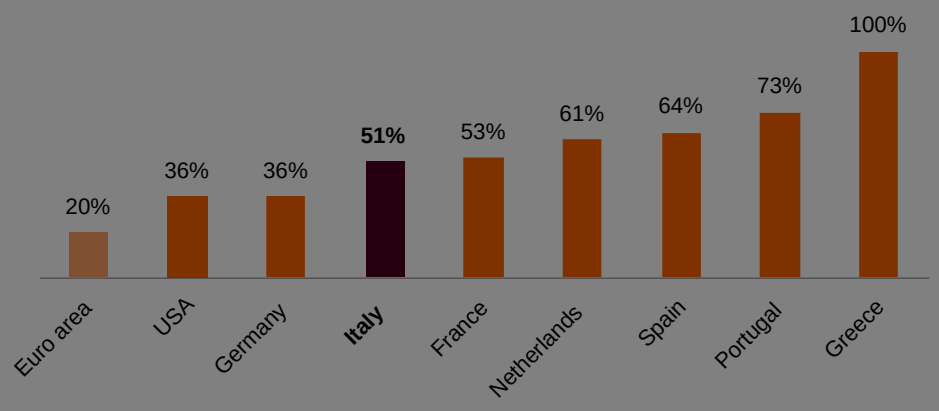
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Why is Italy so active in particular? Well, Italy remains quite fragmented (see below) and still offers a large domestic synergy pool, even after the wave of M&A that has already taken place. Furthermore, the country has meaningful industrial scale and offers further revenue diversification opportunities for banks and insurers. Although the obvious combinations are becoming less evident in Italy, we expect this to continue to drive M&A activity in 2027.

Top 5 banks' lending market share by country (2025)



Source: AFME, ING

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Deutsche's return to life insurance after more than a decade.

Consolidation can support bank performance

But does consolidation actually deliver better outcomes? The evidence is not entirely clear-cut, but overall points in the right direction. While increasing scale is not always the best use of capital, in general, more consolidated markets tend to have more stable and, in some cases, higher profitability. The ECB is in favour of further consolidation where appropriate, as it sees the benefits of

diversification and efficiency. On the other hand, capital can be reduced following a merger. This could be a downside, as better capitalised banks tend to enjoy lower funding costs and thus have more room to lend to the real economy.

The outcome therefore depends on the trade-off between longer-term synergies and the upfront capital, execution and integration costs.

ECB data show an association between more concentrated banking markets and profitability. As the chart below shows, countries with a high level of concentration (defined by a higher Herfindahl-

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Herfindahl-Hirschman Index (Sector concentration)

Source: ECB, ING

Similarly, a higher level of market concentration in European countries is associated with a lower cost of risk. The correlation is modest, with some clear outliers, but the numbers show that greater concentration can lead to lower asset quality costs, although the relationship should perhaps not be interpreted as causal. Still, taken together, this suggests that consolidation can improve banking markets.

Cost of risk vs market concentration for European countries (2025)

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clearer than it was even a decade ago. But as the Draghi report noted, the incomplete Banking Union means Europe's banks remain less profitable than their US counterparts.

There is a shift underway, though. The EU Commission plans to table a broad **Banking Package** in the first quarter of 2027, with measures covering cross-border capital and liquidity management, deposit insurance, prudential rules and other items. For M&A, the most important proposals include those to give banking groups more flexibility to allocate capital and liquidity more efficiently within cross-border groups, while also applying more consistent

treatment to intra-group exposures. These remain proposals rather than agreed implementations, meaning their final scope and timetable remain uncertain.

The AFME estimates that regulatory ring-fencing rules mean that some €225bn of capital and €250bn of liquidity is trapped within subsidiaries, which banks cannot freely move between parent and subsidiaries. Freeing this up could also support more cross-border transactions.

Regulatory ring-fencing traps subsidiaries' capital and liquidity

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cross-border M&A. CMDI reform has been passed this year, which could make it easier to deal with failing banks, potentially making consolidation easier as well, although the direct impact on M&A is unclear.

The Danish compromise, which is now embedded into CRR3, allows banks to risk-weight certain insurance subsidiaries rather than deduct them from regulatory capital. This was clarified by the EBA in January 2026, and some banks such as UniCredit have received authorisation to use the Danish Compromise methodology for its insurance subsidiaries. This has improved the economics of

bancassurance and could support further bank-insurance transactions.

On the other hand, national regulatory and political intervention has also put the brakes on M&A in some cases, raising execution costs and uncertainty. BBVA's proposed acquisition of Sabadell in 2024 illustrates the problem. It took 539 days from the announcement in May 2024 to the offer failing in October 2025.

For us, the message seems clear that European regulators are seeking to improve bank competitiveness, and they see consolidation as an important part of this. Looking ahead, re

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so we could see more bolt-ons. In the UK, challenger banks and neobanks are gaining ground while deposit competition remains intense, potentially leading to more activity. The Benelux has potential catalysts following a series of government ownership reductions and increasing inorganic ambitions.

Cross-border activity could also remain elevated, but we think the real litmus test remains the UniCredit-Commerzbank deal, including what happens after completion in terms of execution and integration, a process that is likely to take a few years. The

regulatory environment should also become increasingly more supportive for cross-border M&A from 2027 onwards.

Overall, 2027 could be another interesting year.

M&A is here to stay

European bank M&A has picked up in recent years, and we expect more activity again in 2027, although we do not see a big bang. For investors, positioning is inherently speculative. For bondholders, the main way to gain is by owning the target entity's bonds. However, this is not always the case, and bigger doesn't always mean better, as credit ratings don't necessarily improve either following an

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